

been a leader. These developments make it problematic and a matter that only the future will decide as to whether this decision to dispose of Cyanamid shares may not have been an investment mistake. Because studying possible mistakes can be even more rewarding than reviewing past successes, I am going to suggest—even at the risk of appearing presumptuous—that anyone seriously interested in bettering his investment technique mark these last several paragraphs and reread them after having read the coming chapter on “When to Sell.”

Now let me turn to the next and more recent example of this type of purchasing opportunity which I cited in the original edition. I said:

“A somewhat similar situation may be occurring in the second half of 1957 in the case of the Food Machinery and Chemical Corporation. A few large institutional buyers have liked these shares for some time. Many more, however, seem to feel that in spite of some elements of interest they want evidence concerning certain matters before acquiring shares. To understand this attitude it is necessary to go into some of the background.

“Prior to World War II this company had confined its activities to a diversified line of machinery manufacture. As a result of brilliant management and equally brilliant developmental engineering, Food Machinery had become one of the spectacularly successful investments of the prewar period. Then during the war, in addition to going into the related line of ordnance manufacture at which the company has been comparably successful, the company built up a diversified chemical business. Reason for this was a desire to stabilize the cyclical tendency of the machinery business through the manufacture of consumable products, sales of which over the years could be continuously expanded through research in much the same manner as had been so successfully exploited in the machinery and ordnance divisions.

“By 1952, four separate companies had been acquired and were converted into four (now five) divisions. Combined they represent slightly less than half the total sales volume if ordnance activities are included, slightly more than half if only the normal non-defense activities are considered. Before and in the early acquisition years, these chemical units varied enormously. One was a leader in a rapidly growing field with broad profit margins and